

June 2016 v12

1-C:

In the US , there is a shortage

In Japan, there is only consumption

In Russia, there is surplus

In Britain, there is balance equilibrium

A – This is incorrect as there is always opportunity cost

B- In Japan, there is no self-sufficiency in oil since there is no production, and all is imported.

C- Yes, this is correct as in Russia, there is no shortage of oil and only surplus

D- Rationing is not the only solution to oil shortage in the United states

2-B:

A- With Barter system , a double coincidence of wants is necessary, which leads to multiple exchange rates, thereby discouraging specialization.

B- This is correct as since money performs the function of **medium of exchange** , it encourages specialization. This is because, money is a means of exchange and has a standardized predetermined stored value that is backed by the government. It also encourages specialization because it promotes competition, and the competition will lead to finding out who can be most efficient in their operations.

C- The production possibility curve only presents the concept of output, making this incorrect as well.

D- A system of trade protection discourages trade, and subsequently specialization is discouraged too

3-D:

We are interested in an option that causes a rightward shift in the production possibility curve.

A “PPC” shows output combinations that an economy can produce using the given resources.

An increase in the quality and quantity of factors of production causes a rightward shift in the PPC.

A- An increase in “employment” will cause the actual to move closer to the potential

- B- An increase in the rate of interest will also impact “actual”. By increasing the interest rate, savings ratio increases, leading to a reduction in consumption , resulting in a fall in Aggregate demand, as a result of which , there is unemployment and therefore actual moves closer to the origin.
- C- Closure of an inefficient factory will increase unemployment, as a result of which, the actual moves towards the origin.
- D- The discovery of a new resource will lead to an increase in the qty of “land”, resulting in a rightward shift in the PPC.

4-C:

The fact that ancient coins were discovered “**buried**” , represents that they were stored

C- A store of value is the function of the asset that can be saved and exchanged at a later time, the most common store of value in modern times has been money or a **commodity like a precious metal, which in this case are the ancient coins. This is why, this becomes correct.**

A – A “medium of exchange” is an instrument that facilitates trade , that is , sale or purchase of goods between parties. **For an instrument to function as a medium of exchange , it must represent a standard value accepted by all parties.** Nowhere are these coins used to facilitate any transaction, thus making this incorrect

B- A standard of deferred payment is the accepted way in a given market to settle a debt. In this scenario, no such function is performed

D – A unit of account is used to represent the real value or cost of an economic item, making this incorrect

5-c:

- A- A market supply curve is upward sloping
- B- It is not the same as the “aggregate supply curve”
- C- Yes, this is correct as the “market supply” is the horizontal summation of individual supply curves of firms in a given market.
- D- Supply of all products in an economy represents the aggregate supply.

6-B:

A – An increase in “real disposable incomes” that represents incomes from which adjustments for inflation and income taxes have been made , would increase purchasing powers, in turn causing an increase in demand for cars, or in other words a rightward shift in the demand curve for cars that are categorized under income-elastic normal goods. This is why this option is incorrect.

B – Interest rates represent the rate of return or cost of borrowing . Many goods and services including cars are bought on credit using borrowed money , thus their demand is sensitive to the rate of interest charged by the lender. An increase in interest rates would increase the cost of borrowing , thus reducing the demand for cars. Moreover, this will also increase the rate of return, thereby encouraging individuals to save rather than spend, also reducing consumption and thereby resulting in a fall in demand for cars. This is why this option is correct.

C – An increase in price of new cars would result in a contraction in quantity demanded for cars, instead of causing a leftward shift in demand curve.

D – An increase in price of train travel that is a substitute to car travel, will cause an increase in demand for car-travel, thereby making this option incorrect.

7-A: Here we are provided with the value of cross elasticity of demand of rail travel with respect to the price of bus travel , which is +0.16. we also know that there has been a 1% increase in bus fares, and we are interested in finding the change in the volume or in other words qty of rail travel.

The answer obtained is an increase by 0.16%, which is why option A is correct.

The working is shown below:

$$XED = \frac{\% \text{ change in QD of rail travel}}{\% \text{ change in price of bus travel}}$$
$$\rightarrow 0.16 = \frac{x\%}{+1\%}$$
$$\boxed{x = +0.16}$$

Bus and rail are substitutes, which means that all negative signs will be ignored as they represent complements.

8-B:

A-The negative value of income elasticity of demand shows that a particular good is an inferior good, and not a normal good, therefore making this correct.

B-Bread gives a value of -0.04 of yed and since it is a negative value, this is why it is an inferior good. This is the reason why this option is correct.

C-Income elasticity of demand does not help to distinguish between substitutes, it is cross-elasticity of demand that helps to distinguish between substitutes.

D-YED only helps to distinguish between inferior goods, normal goods and necessity goods. We cannot identify complements through this.

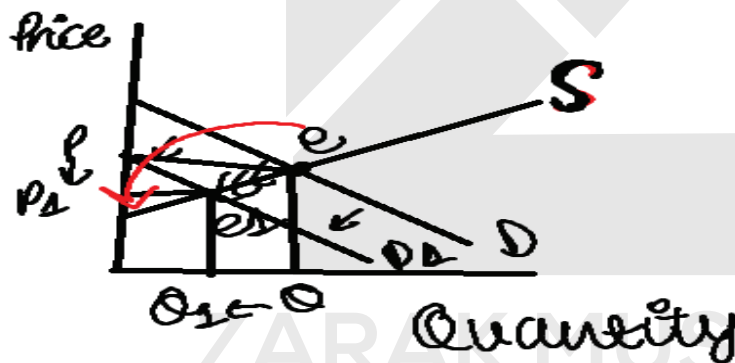
9-A:

Since all the supply curves start from the origin, this is reflective of the fact that the supply is unitary elastic.

In case of unitary elastic, any percentage change in quantity supplied is equal to a percentage change in price, therefore the values of price-elasticity of supply of such curves is always=1.

Only, option A says that, the values of PES of good X ,Y, and Z are =1,this is the reason why only this option can be correct.

10-B:



Because of a health-study warning teenager to restrict their daily sugar consumption ,the demand curve for “fizzy drinks” will shift leftwards.

As can be seen above that the demand curve for sugar also shifts leftwards, as a result of which there is a fall in equilibrium prices, which provides a signal to the producer to contract quantity supplied. Because of which, there is a movement down the supply curve. This is shown above, and is the reason why only option B can be correct.

11-D:

Price mechanism is when prices are determined by the market forces of demand and supply where prices provide a signal to the producer to allocate scarce resources among competing uses in a profit maximizing manner.

A and B: They cannot be the answer as in-case of price mechanism, prices vary according to the changes in demand and supply conditions in the market and prices are never fixed in this case. Price fixing refers to 'price-control' that is alternative to price mechanism.

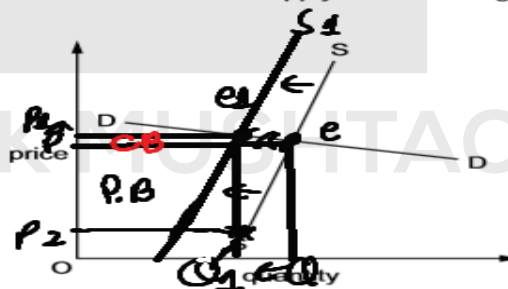
C: P2 and P3 refers to the equilibrium prices on day 2 and day 3, this cannot be the answer as there is a separate demand on all four days, thus prices should be varied between the equilibrium prices on all four days.

D: P1, P2, P3 and P4 that is prices between P1 and P4 refer to the equilibrium prices on all four days, therefore the car parking fee should be varied between P1 and P4.

12-A:

- A- It can be seen in the diagram below that most of the incidence of taxation falls onto the producer when the demand is elastic and supply is inelastic, as in that situation, the producer cannot respond by passing the complete burden to consumers in form of higher prices. This is why, this becomes correct
- B- No, there would not be a shift in the demand curve as a result of tax; instead, it is the supply curve that shifts leftwards.
- C- No, only in the case of "perfectly inelastic demand" the price rises by the full amount of the tax
- D- No, the qty demanded would not fall proportionately to the tax rate since the demand is "elastic"

12 The diagram shows the demand curve and supply curve for a good on which the government imposes a specific tax.



What will be the result of this tax?

- ☒ **A** Most of the incidence of the tax will fall on the producer.
- ☐ **B** There will be a new demand curve parallel to DD.
- ☐ **C** The price will rise by the full amount of the tax.
- ☐ **D** The quantity bought will fall proportionately to the tax rate.

13-C: The area of the consumer surplus is calculated by the formula of area of triangle i.e.
 "base*height/2"

→ At price level 5 → $\frac{\text{base} \times \text{height}}{2} \Rightarrow \frac{25 \times 12.5}{2} \Rightarrow 156.25$
 → At price level 10 → $\frac{20 \times 10}{2} \Rightarrow 100$
 → At price level 15 → $\frac{15 \times 7.5}{2} \Rightarrow 56.25$
 → At price level 20 → $\frac{10 \times 5}{2} \Rightarrow 25$

decreases by 56.25
decreases by 43.75
decreases by 31.25

Therefore, it cannot be said that consumer surplus falls by a decreasing amount with each \$5 rise

A-It does not fall by a constant rate. Between the price level of 5 and 10, it falls by 36%. Whereas, between the price level of 10 to 15, it falls by 43.75%, and between the price level of 15 to 20, it falls by 55.55%

B- It does not fall by a constant amount

C-From the calculation above, it can be concluded that the consumer surplus falls by a decreasing amount with each dollar 5 rise, thus making this correct.

D-It does not fall by an increasing amount

14-B:

In order to protect the interest of the consumers the government imposes price ceiling or maximum price above which no one will sell the commodity. This is called 'price ceiling' or 'maximum price legislation', for example: maximum rent. It is set below the current equilibrium price (free-market level) for it to be effective.

A- Option A cannot be the answer since there will be an increase in the applicants that is the number of people interested to obtain rented housing after being attracted by lower prices.

B- B-As a result of imposition of an effective maximum price, quantity demanded for rented housing increases, whereas quantity supplied of rented housing contracts, thus resulting in a shortage of rented housing. This is why this is the correct answer.

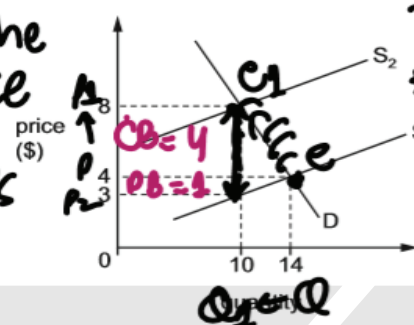
C – Option C is incorrect as there is a “**contraction in qty supplied**”

D-There will be an increase in the number of applicants that is those who have applied to obtain rented housing and have shown their interest, but because of shortages, there would not be an increase in **occupants** that is those who successfully obtain or occupy the housing, that is, who are able to avail it because supply is restricted.

15-C:

15 The diagram shows demand and supply curves for a good. S_1 is the original supply curve, S_2 is supply after a tax is added.

* per unit tax is the vertical distance between the two supply curves



Tax revenue =
* per unit tax * new equilibrium qty
* $1 \times 10 = 10$
* $5 \times 10 = 50$

How much tax revenue is earned by the government?

- A \$10 B \$40 C \$50 D \$80

16-B:

- A- Although a higher tax-free allowance will enable the ones with lower incomes to get a tax-relief, ensuring a reduction in inequalities, a higher rate of sales tax would exacerbate inequalities. This is because, sales tax is regressive in nature in the case of which, the average rate of tax falls upon a rise in income, which means that, it takes up a greater proportion of incomes of the poor.
- B- A higher top rate of tax would impact high income earners, enabling an increase in re-distribution, and also a lower rate of sales tax would lead to a fall in inequalities ; this is because they are regressive in nature , impacting poorer people by more since the marginal rate of tax is lesser than the average rate of tax, which means that for every extra \$1 earned, less will be taken up in tax. This is why, this becomes correct.
- C- Although a lower tax-free allowance will lead to the ones with lower incomes to not get a tax-relief, ensuring a rise in inequalities, a higher number of basic necessity goods that are exempted from sales tax would reduce inequalities, but this option becomes incorrect as a whole
- D- As mentioned above, a lower rate of tax-free allowance would lead to a rise in inequalities , a lower number of basic necessity goods exempted from tax payment will also increase inequalities.

17-A:

A -An extension in quantity demanded(qty traded) because of a fall in prices as a result of a rise in supply, represents a rise in output, whereas since the **"broken curve is a rectangular hyperbola"** , an impression is received that this is representative of a unitary elastic demand ,that is when a percentage change in price brings an equal percentage change in quantity demanded, giving the value of price elasticity of demand of 1,thus leaving Total Revenue unchanged. Option A says that the output increases(this is correct because a fall in price leads to an extension in qty

demand(ed)(equilibrium output) and the Total Farm Revenue remains same, which is in turn true, thus ,making it correct,

B - The output is higher but the farm revenue is not higher therefore it is wrong

C - Neither is the output lower nor is the farm revenue higher.

D - Even though the farm revenue is the same but the output is not lower, thus making this option incorrect.

18-C:

A – Increase in the level of innovation has no link to change in ownership, that is transfer of ownership to the managers and workers.

B – Only privatizing one company would not increase the level of competition.

C – Since ownership has directly been transferred to managers and workers, there will be increased incentive effects for managers and workers, as their work will directly benefit them now,

D – Ownership change to workers and managers has no link to an increase in the scale of production.

19-A:

There has been a fall in domestic consumption . We are interested in an option that will offset the effect of a fall in Aggregate demand, by increasing Aggregate demand for example.

A – An increase in exports would result in a Balance of Trade surplus , which would contribute to a rise in “Aggregate demand”, thus making this option correct

B – An increase in imports when increase the Balance of Trade deficit would result in a fall in Aggregate demand.

C – An increase in “savings” after decreasing spending and in-turn consumption would result in a **fall in Aggregate demand**

D – A rise in taxes , for e.g. income taxes would result in a fall in disposable income and in turn a fall in consumption expenditure, leading to a fall in Aggregate demand.

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20-A:

We need to shift our equilibrium from point X to Z. In order to achieve this, there must be an increase in Aggregate demand and a decrease in Aggregate supply .

A - When the government cuts income taxes as part of its reflationary fiscal policy, there will be an increase in disposable incomes of consumers leading to an increase in consumption expenditure, which represents injection in to the circular flow as the expenditure of consumer becomes the revenue of the producer, bringing about an increase in Aggregate demand.

However ,the government aimed to reduce income taxes as part of its supply side policy, to help stimulate labor output .This is because lower income tax will act as an incentive for unemployed workers to join the labor market ,or for existing workers to work hard. But on the contrary ,since this

policy led to workers increasing their leisure time, this means that the factor output declined, thereby bringing a decrease in Aggregate Supply. This is why, this will be the answer.

B – A cut in unemployment benefits by the government will decrease the level of Aggregate demand, and when this results in an increase in incentive effects, this will lead to a rise in the number of people, who will choose to work rather than remain voluntarily unemployed, and this rise in output represents an increase in Aggregate supply

C – A rise in government spending will result in a rise in Aggregate demand, and since, a rise in labor productivity results in a fall in costs, this results in an increase in Aggregate supply.

D – Privatization, when results in increased competitive pressures results in a reduction in costs and in turn a rise in Aggregate supply.

21-B:

* Let's assume that the price level in the base year was 100
 * price level fell by 2% successfully in four years. → % decrease after the four year period

* Year 1: $100 - (2\% \times 100) \Rightarrow$ (98)	Year 3: $96.04 - (2\% \times 96.04)$ $\Rightarrow 94.1192$	* Initial price = 100 $\uparrow$ price at the end of 4 years = 92.2368 $\times$ price level falls by less than 8%.
Year 2 $\Rightarrow$ $98 - (2\% \times 98) \Rightarrow$ (96.04)	Year 4: $94.1192 - (2\% \times 94.1192)$ $\Rightarrow 92.2368$	* New-Old $\times 100$ $\uparrow$ Old $\frac{92.2368 - 100 \times 100}{100} \Rightarrow -7.76\%$

This explains why option B will be correct & also why option A will be incorrect.

In a period of deflation, the real value or in other words purchasing power of money rises, thus making options C and D incorrect.

22-D:

The demand for US goods has fallen, which means that the foreigners have reduced the demand for the goods.

Recession in foreign markets means that less incomes are earned by foreign residents, as a result of which, there will be a **fall in the demand for US goods**.

And, as a result of a reduction in demand for export-oriented goods, there will be less export revenues earned, which means that there will be **reduced inflow in the current account**.

23-D:

The question asks us that how many dollars can be exchanged for one pound.

And if u see we have the exchange rate of pounds given in terms of euros.

So,

£1=€1.208 and if you replace the amount of euros into dollars by converting these euros into dollars ,you can have the answer

Our next step will be to convert €1.208 euros into dollars

For that purpose, I'll be using the exchange rate , that is, €=\$1.375 as given in the question.

We'll then cross multiply.

$$€ = \$1.375$$

$$€1.208 = X$$

$$X = 1.375 \times 1.208 \text{ i.e. } 1.661\$$$

These number of dollars are greater than 1.5, this is why D will be my answer

24-D:

The terms of trade in the base year is 100, this means that both: import prices and export prices will be "100"

There has been a rise in the prices of imported goods by 25%, which means that the new import prices will be "125".

The new terms of trade will be 120

$$(\text{Export prices} / \text{Import prices}) \times 100$$

$$(X / 125) \times 100 = 120$$

$$X = 150 \text{ (Export prices have increased by 50\%)}$$

25-D:

Parallel lines indicate that the opportunity costs of both the countries are equal , this means that option B becomes incorrect. And because of this none can benefit from specialization(option A becomes incorrect), the reason being that, none of the countries is having a comparative advantage, (which results in option C being incorrect)

As a result of this, there will be no gains from trade, which means that, trade should be ceased.

This is why option D becomes correct.

26-B

Economic integration implies “free trade and specialization”

A – When there is an increase in trade creation, there will be a rise in financial flows, thus making this incorrect as because of trade creation, trade flows are redirected due to creation of a free trade area or a customs union.

B – No, trade quotas is an example of protectionism, which means that, it is not associated with greater “economic integration”, which is why this becomes correct

C – Trade creation occurs when tools of protectionism are removed, which means that it is associated with greater economic integration

D – Trade diversion occurs when trade is diverted from a more efficient exporter to a less efficient one by the formation of customs union or trade agreements, which means that it is associated with greater economic integration.

27-A:

A – A tariff when raises the prices of imported raw materials , will result in a contraction in the qty demanded of imported goods by a relatively smaller percentage, as a result of which, there will be an increase in costs, and this leads to a reduction in Aggregate supply, resulting in “imported inflation”, this is why, this becomes correct.

B – This is a valid justification as tariff is a tool of protectionism that reduces dumping.

C – Yes, a tariff results in a developing industry ,namely infant industry being protected

D – This is correct as a tariff results in protecting a declining or a sunset industry, to allow it to gradually decline through “natural wastage”

28-B:

An increase in interest rates when increases the incentives to save and increases the savings ratio would result in a fall in consumption expenditure and in turn Aggregate demand.

This is why, it is a “contractionary monetary policy”. **This is why, key B, becomes correct.** (Monetary policy tools involve: money supply, interest rate and exchange rate”

This can not be a fiscal policy as fiscal policy measures include manipulating “government spending” and “tax rates”

This is not a restrictive supply side policy either as this does not result in a decrease in Aggregate Supply.

29-B:

Expenditure dampening policy or expenditure-reducing policy aims to reduce the expenditure of domestic residents on imported goods , by cutting their income or encouraging them to save ;these include: fiscal and monetary policies

- A- Devaluation represents an “expenditure switching policy”, although govt spending cuts is a reducing policy
- B- Government spending cuts represents “contractionary fiscal policy”; whereas, interest rate rises represents “contractionary monetary policy”, and both of them are dampening policies, which makes it correct
- C- Interest rate rises is a contractionary monetary policy , which represents a dampening policy, but tariffs represent expenditure switching policy.
- D- Tariffs and devaluation are expenditure switching policies.

30-A:

A - A rising exchange rate can actually lead to deflationary pressures in an economy, as imports become cheaper, leading to an extension in qty demanded of imports, leading to a rise in import expenditures relative to export revenues which fall since export oriented goods become relatively expensive , which means that there will be a contraction in qty demanded of exports, therefore resulting in **a Balance of Trade deficit**, which since represents net-leakages from the circular flow, results in a fall in Aggregate demand, bringing down a fall in general price level. This would make **demand-pull inflation less likely**. This is why this becomes correct

B – Higher interest rates for domestic customers when increases saving , results in a fall in consumption and in turn , on imported goods as well, resulting in a fall in import expenditures, leading to a ‘reduction in deficit’, making this incorrect

C – Higher subsidies to domestic producers after resulting in a fall in cost of production and in turn prices would result in an increase in consumption expenditure , leading to a rise in Aggregate demand and in turn inflation in the economy, making this incorrect

D – Higher income taxes for domestic customers when reduces disposable incomes , results in a fall in consumption and in turn that on imported goods as well, resulting in a fall in import expenditures, leading to a ‘reduction in deficit’, making this incorrect

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